	Likelihood 1	Likelihood 2	Likelihood 3	Likelihood 4	Likelihood 5
Impact 1	Low	Low	Low	Low	Low
Impact 2	Low	Low	Low	Medium	Medium
Impact 3	Low	Low	Medium	Medium	High
Impact 4	Low	Medium	Medium	High	High
Impact 5	Low	Medium	High	High	High

Likelihood Score	Definition
1 – Rare	May occur only in exceptional circumstances
2 – Unlikely	Not expected to occur under normal conditions
3 – Possible	Might occur at some time
4 – Likely	Will probably occur in most circumstances
5 – Almost Certain	Expected to occur frequently or regularly

Impact Score	Definition
1 – Negligible	No significant damage to operations or reputation
2 – Minor	Small disruptions, minor financial or reputational impact
3 – Moderate	Noticeable effect on operations, requires management attention
4 – Major	Serious business disruption, financial loss, or compliance issue
5 – Severe	Critical damage to business, possible legal/regulatory breach

Risk Score	Risk Level	Meaning
1–6	Low	Acceptable risk, monitor
7–14	Medium	Needs mitigation or justification
15–25	High	Unacceptable, treatment required